EXOS OFFER TO SCORPIUS SPACE LAUNCH COMPANY

Board Overview

John M. Quinn | Cofounder & CEO, Exos Aerospace

October 10, 2026

CONFIDENTIAL — DRAFT — NEGOTIATING TERMS

The Decision

The Board is asked to confirm §3 exclusivity under the May 2025 Asset Acquisition Agreement.

That's why Exos has stayed committed to funding this acquisition: fair value for SSLC holders, stability for SSLC's team, and real growth for investors. Together we're stronger than apart.

Exclusivity period: 90 days from board confirmation; extension not unreasonably withheld (§3)
Holdback: 5% escrow, released at 12-month anniversary (§7)
Agreement basis: May 2025 Asset Acquisition Agreement — §3 exclusivity trigger

Where SSLC Stands Today

$198K

Cash on hand

Current working capital

$713K

Last quarter revenue

Most recent reported quarter

~$1.46M/qtr

Required to hit $5.1M

M1 milestone threshold

A $5.1M fiscal year requires approximately $1.46M per quarter — nearly double last quarter's pace of $713K — starting Oct 1st. Exos's offer removes the funding risk, solves the physical-space and single-winder constraints (with capital in the new year), and gives SSLC holders direct upside.

What SSLC Holders Receive

Cash at close	**$2.51M**
SSLC transaction costs	**$60K**
Exos stake credit (non-cash)	**$790K**
Working-capital bridge	**$500K**
① Cash at close — target by Feb 15th	**$3.86M**
+ Exos equity — EAI units at 409A (Rule 504, ~0.59%)	**$1.0M**
② Total at financing close (SSLC asset acquisition)	**$4.86M**

Issued at financing close
Restricted at issuance (Rule 504)
Part of RTO public float
Freely tradeable at listing

How Value Grows: Earn-Outs & Milestones

Earn-Out	Target SSLC Must Hit	Low	Base	High	Pays
5% of IM tank revenue/yr cap $300K/yr, FY27–FY31	Revenue SSLC achieves each year FY27–FY31	$3.0M/yr →$150K/yr →$750K total	$5.0M/yr →$250K/yr →$1.25M total	$6.0M+/yr →$300K/yr (cap) →$1.5M total	Annual FY27–FY31
M1 SSLC FY27 rev ≥$5.1M →$200K	Annual rev ≥$5.1M in FY27	✓	✓	✓	FY28 Q1
M2 Nebula OTV flight tank set delivered & accepted by IM →$200K	Tank set delivered and accepted by Intuitive Machines	—	✓	✓	At acceptance
M3 SSLC annual rev ≥$10M →$250K	Annual rev ≥$10M	—	✓	✓	Est. FY29
M4 SSLC annual rev ≥$20M →$250K	Annual rev ≥$20M	—	—	✓	Est. FY31
M5 50% reduction in tank build cost (dome & build-process automation proven) →$200K (High)	50% cost reduction proven (dome & process automation)	—	—	✓	Est. FY27–28
Exos stock earn-out at RTO listing (adds to ~0.59% EAI up-front)	Issued at RTO listing	$0 (0.0%)	$625K (0.25%)	$1,500K (0.50%)	Post-RTO ~FY29
TOTAL EARN-OUTS (③ minus ②)		**$950K**	**$2,525K**	**$4,100K**	**5-yr total**

Total Offer Value

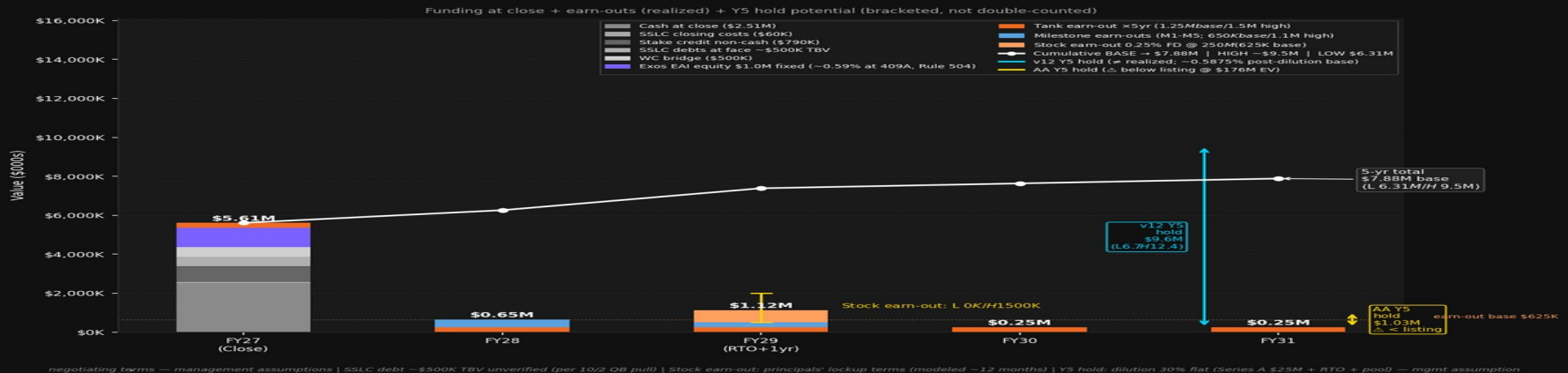
③ 5-Year Total (earn-outs realized)

Low	Base	High
$5.8M	$7.4M	$9.0M
5-yr realized	5-yr realized	5-yr realized

④ If Exos Stock Held to 2031 (projection)

Low	Base	High
$11.5M	$15.3M	$18.9M
if held to 2031	if held to 2031	if held to 2031

④ is a forward-looking projection, not a guarantee; an alternative to ③ — not added to it. RTO may not close.



negotiating terms — management assumptions | SSLC debt ~$500K TBV unverified (per 10/2 QB pull) | Stock earn-out: principals' lockup terms (modeled ~12 months) | Y5 hold: dilution 30% flat (Series A $25M + RTO + pool) — mgmt assumption

The Exos Stock

Instrument

$1.0M EAI units at the current 409A valuation (~$169.7M); ~0.59% fully diluted at issuance.

Offering

Part of Exos's Rule 504 Regulation D offering. U.S. persons only. Counts toward the $10M rolling 12-month cap.

Restricted at issuance

Units carry a restrictive legend at issuance (Rule 504 Reg D). Not freely tradeable prior to the RTO listing.

Public float at RTO

Structured to be part of the public float at going public. No principals' lockup applies to these units; locked-up shares would not count as float.

Freely tradeable at listing

Becomes freely tradeable at the RTO listing (no lockup on the up-front units). Covered by the RTO resale registration.

Timeline

Units issued at financing close. Targeted RTO ~6 months post-financing. Not assured — RTO may not close.

SSLC Employees

Employment Offer

Exos shall offer employment to SSLC employees — including management, support, engineering, and other technical and manufacturing employees — on terms no less favorable than their current terms with SSLC, including compensation and benefits.

Subject to each employee satisfying Exos's standard hiring policies and Exos's completion of confirmatory due diligence.

Key-Employee Option Pool

Exos has an option pool for key employees. The allocation, key-employee retention and new-hire structure will be mutually agreed post-acquisition.

Exos Funding Commitments

$2.51M cash	at financing close (target Feb 15th)
SSLC transaction costs	at financing close (target Feb 15th)
Working-capital bridge $500K	at financing close (target Feb 15th)
$1.0M Exos stock (EAI units, Rule 504)	at financing close (target Feb 15th)
Capital in the new year — physical space and a second winder	(amount TBD; committed at financing close)
Employment offers + option pool	at financing close (target Feb 15th)
Earn-outs on milestones and tank revenue	FY27–FY31 as triggered

One decision today: confirm §3 exclusivity → 90 days → financing close target Feb 15th

Path to Close

1. **Board Confirms Exclusivity**
   Today — action requested at this meeting

2. **90-Day Exclusivity Window**
   Negotiation and diligence period begins

3. **Definitive Agreement**
   Key terms, employee pool, earn-out detail finalized

4. **Financing Close — target Feb 15th**
   Cash at close + EAI units issued; ① + stock = ②

5. **Targeted RTO**
   ~6 months post-financing; units tradeable at listing (not assured)

The Board is asked to confirm §3 exclusivity. Questions and open items welcome.